



ANINDYA SAHA

SUMIT SENGUPTA DOCTOR, KOLKATA
FAMILY INCOME: Rs 13 lakh per annum
TRAVEL: Has had to cut short plans for their annual vacation
LIFESTYLE: With an inescapable EMI burden of Rs 30,000 on home and car loans and a monthly food bill of Rs 12,000, the red flag is up on luxuries. Even the occasional visit to a restaurant pinches.
FUEL: The Senguptas spend around Rs 10,000 on fuel at present, but are trying to bring that down.
INVESTMENT: Son's education and future security concerns make the Senguptas park Rs 2 lakh a year in savings schemes.
"Our family was looking forward to buying an LCD TV, but we have had to shelve that plan. It is not really a priority anymore."

by Elora Sen

pegs the cruel increase at a flat 10 per cent.

Even the better off can barely put away cash for a rainy day. Surendra Rajput, a Lucknow-based businessman, had planned investments for a modest apartment and his son's MBA education. But inflation has started pinching on his parked money. With a stagnant income level and rising bank interest on housing loans, there is not much he can do to hold on to his precious reserves. Rising expenses have also made a dent in Mahesh Narvekar's fatter pay packet from which the Mumbai-based purchase officer had planned to put away money for a management course.

With essential goods burning a hole in the pocket, Indian consumers have less elbow room for consumer durables, air travel, entertainment and new homes. For example, Dhiman Majumdar, who works in the marketing department of a media house in Kolkata, has been forced to set aside the family's desire to upgrade from a two wheeler to a car.

Rise in interest rates has also caused a fall in home-loan demand. An ASSOCHAM report referring

GLOBAL UPSWING

Rising crude oil prices have driven inflation up, not just in India, but across the world

Country	Consumer Price Index (latest)	Country	Consumer Price Index (latest)
Turkey	+10.7 (May)	Indonesia	+10.4 (May)
Venezuela	+29.3 (Apr)	Pakistan	+19.3 (May)
Saudi Arabia	+10.5 (Apr)	Singapore	+7.5 (Apr)
USA	+3.9 (Apr)	Thailand	+7.6 (May)
China	+8.5 (Apr)	Argentina	+8.9 (Apr)
France	+3.3 (May)	Brazil	+5.0 (Apr)
Russia	+15.1 (May)	South Africa	+11.1 (Apr)

Source: Country Reports

to the differential between Equated Monthly Instalments (EMI), prevailing at 7 per cent and 12 per cent, says that the approximate change in EMI for a home loan of Rs 10 lakh works out to be Rs 3,250, putting an extra burden of Rs 39,000 per annum on borrowers. Similarly, on a Rs 20-lakh loan, the approximate change in EMIs due to an interest rate hike from 7 per cent to 12 per cent works out to be Rs 6,520 and will cost the borrower an additional Rs 78,240 per annum.

In other words, nothing comes cheap these days. Least of all savings. **with bureau inputs**



"Global pressures apart, introspection is needed on the domestic factors behind the spiralling increase in food prices."

SHUBHASHIS GANGOPADHYAY, ADVISER TO FINANCE MINISTER